BODHI CAPITAL

Indegene

Current Price : 557 Rs
Market Capitalisation: 12,981 Cr Rs

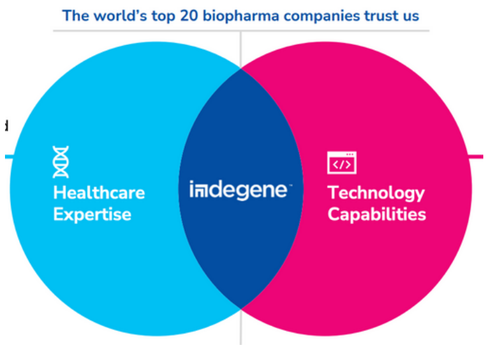
Analyst Take**: BUY**

COMPANY OVERVIEW

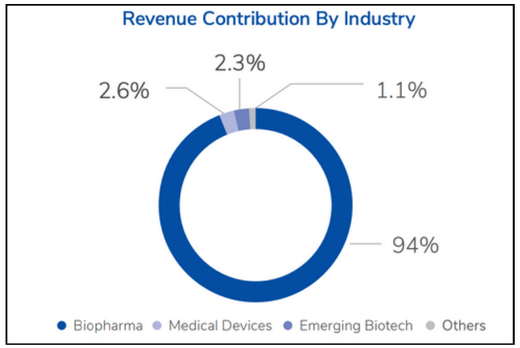
Overview

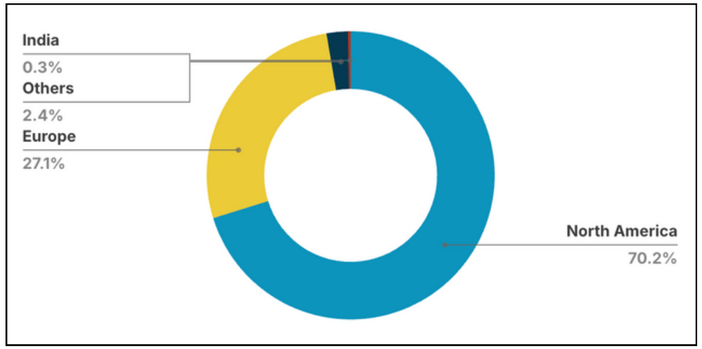
- Incorporated: October 16, 1998 (27 years old)
- HQ: Bangalore
- Founded by: 5 co-founders - Dr. Rajesh Nair, Manish Gupta, Gaurav Kapoor, Dr. Sanjay Parikh, and Anand Kiran
- Listed: BSE & NSE (May 2024 IPO - ₹1,842 crore)
- Business Description - Digital-first life sciences commercialization company providing analytics, technology, commercial, medical, regulatory, and safety services to biopharmaceutical, emerging biotech, and medical device companies.
- Total Employees: 4,880 (4,198 delivery employees)
- Active Clients: 75 clients
- 13 Acquisitions to Date
- Million+ Dollar Clients: 38
- Healthcare Expertise: 23.3% of delivery workforce has healthcare-related educational backgrounds

Expertise



Client Mix & Market Position





Future Outlook

- Management expects revenue growth led by rising client spend on real-world evidence and omnichannel platforms.
- Focus on cross-selling AI-powered analytics and expanding services into emerging biotech segments.
- Plans to build delivery centers in Eastern Europe and Latin America to manage costs and combat wage inflation, aiming to keep EBITDA margins above 20%.
- Deepening relationships with top 20 global pharma (76% of revenue) should sustain healthy client retention and upsell potential.

BUSINESS MODEL

Discovery and Preclinical Research

Research and development phase

Mostly done by scientists hired by the company at their own expense. Indegene has no involvement in the preparation of the drug.

Clinical Trials (Phase I-III)

- Phase I: Establishes safety
- Phase II: Effectiveness on a disease
- Phase III: Large-scale trials to confirm safety and effectiveness.

Regulatory Approval

NDA to FDA,EMA, CDSCO.

Market Prep/ Pre Launch

Develop marketing strategy, pricing, distribution channels, and educational materials for doctors and patients.

Launch and Post Launch

Monitor real-world safety, sales, and market performance

INDEGENE

Supports medical communications, regulatory writing, clinical content, analytics support for trial data.

Assists in meeting all the regulatory requirements and dossier presentation

Enterprise commercial solutions
+
Omnichannel marketing

Data analytics and patient services

NEXT

Indegene's suite of AI-driven automation platforms that streamline commercial, medical, and regulatory workflows for life sciences companies.

Invisage and Cortex are some other Gen AI platforms for optimising GTM strategies targeted for lifesciences companies

VALUE CHAIN & SUPPLY CHAIN

Knowledge ➜ Technology ➜ Operations ➜ Client Delivery ➜ Feedback

AI/ Ml- NEXT platform

↓

Automate and enhance processes across the entire life sciences commercialization lifecycle.

↓

- Post R&D: It accelerates clinical trials
- Regulatory Affairs: faster compliance
- Marketing: Hyper-personalized marketing campaigns
- Safety: Increasing accuracy of the pharmacovigilance process

Management and Employees

↓

Around 65% of Indegene's expenses is to be attributable to employee costs

- All KMP's have over 25 years of experience in the healthcare/ life sciences sector
- 20.5% of delivery employees have background in medical sector
- Providing domain expertise and interpreting trail data
- Rest 80% of employees associated with tech, business operations etc.

Inbound and Outbound Logistics

↓

- Inbound Logistics: The "raw materials" are data assets and talent pool. Indegene procures these through:
  - Strategic Acquisitions: Their track record of 13 acquisitions (like Trilogy Writing & Consulting) is a primary method for bringing in new service capabilities + expert talent + established client relationships.
  - Talent Acquisition: Hiring and retaining top-tier digital and life sciences professionals.
- Outbound Logistics: The "finished product" is a tech-enabled service, delivered through a flexible and integrated model:
  - Enterprise CoEs (Centers of Excellence): Deeply integrated, multi-year, global teams that become an extension of the client's own operations. This ensures "stickiness" and long-term revenue.
  - Digital Omnichannel Activation: They deliver targeted, data-driven marketing campaigns using the NEXT platform, offering a more flexible, project-based solution.

↓

This model that Indegene operates using develops strong client relations and high switching costs owing to the deep integrations of the NEXT platforms and the COEs model into the client's workflow

MLR Review Automation | **Safety** | **Regulatory Intelligence and Planning**

Customer Data Management and Analytics | **Clinical Trials** | **Workflow Management**

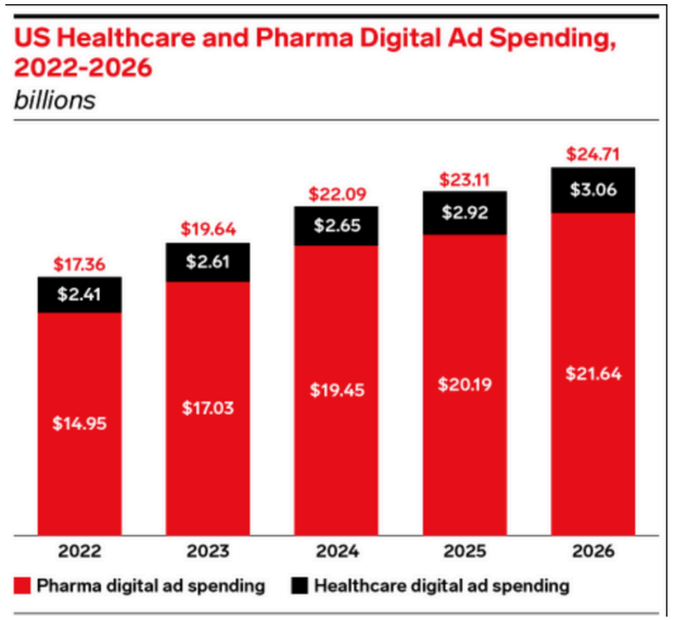
INDUSTRY ANALYSIS

Overview

- The global life sciences industry is valued over US$ 1.8 trillion out of with approximately 20% is attributable towards operational spending which is our addressable market is around US$ 360 billion.
- Sales and marketing, which is our major focus area, is the largest spending area for life sciences companies and is growing at 6-7% annually.
- Outsourcing is growing at a faster rate, around 9% to 14%, depending on the segment.
- Growth is mainly driven by increasing complexity of drug launches, rising specialty and precision drugs, adoption of advanced analytics and AI, and the growing need for patient-centric, data-driven commercialization strategies.
- Enterprise solutions, AI-driven marketing, and omnichannel engagement, is a rapidly growing industry expected to exceed USD 200 billion by 2029.

Changing Trends in the Industry

- Apart from this, the industry is rapidly transitioning from traditional, more people-oriented to digital, AI and automation-driven models.
- The shift to this model will continue to play out given the mounting pressures of high R&D spend and stretched timelines, compliance and complexities of skill sets needed in a rapidly evolving world. Companies will increasingly adopt digital and AI technologies to reduce costs, accelerate trials and regulatory submissions alongside driving better physician and patient engagements.



Patent Cliff - (possible tailwind)

- Near 2027–2028 window, roughly US$150–180 billion+ of annual drug revenue faces patent expiry
- A concentrated expiry schedule creates an industry-wide need to replace revenue or cut costs, and it's one reason why M&A, reprioritization of pipelines, and outsourcing are on management agendas.
- Digital commercialization budgets reallocated rather than disappearing- cuts in field visits, increase in omnichannel and low cost digital marketing.
- Shift supports firms offering digital marketing + analytics.

Macro Tailwinds

- Indegene operates in the **Life Sciences' Industry.**
- Marketing and Sales form **35% of the total Life sciences operations spend**, which is the largest chunk.
- Other value chain segments are: drug discovery and clinical trials; regulatory and medical affairs; pharmacovigilance and complaints management; and manufacturing, supply chain and distribution. Indegene operates in all except for drug discovery and manufacturing.
- Driving factors for the revenue growth: 1) ongoing clinical trials; and 2) robust drug pipeline, 3) rise in ageing population; 4) greater prevalence of chronic diseases.
- **Non-discretionary nature of the life sciences** industry with a TAM worth USD135bn.

Growing R&D pipeline

- Over the last 10 years, US pharma R&D pipeline: doubled. In the future as well, R&D pipelines are expected to grow steadily.
- Top US pharma companies, on an average, spend **a mid-teens to mid-twenties percentage of their revenues on drug R&D**.
- These companies would **spend highly on the marketing and sales of their newly innovated drugs** in contrast to the generic drug sellers.
- 92% correlation between R&D expenses at top pharmas with INDGN's revenues.

Exhibit 9: Incidentally high correlation of R&D expenses at top pharmas with INDGN's revenues

	CY20	CY21	CY22	CY23	CY24
Sum of R&D expense of top players (in USD mn)	1,30,090	1,40,016	1,43,132	1,65,565	1,70,520
Revenue of INDGN (in INR mn)	9,663	16,646	23,061	25,896	28,393
Correlation	**0.92**				

Exhibit 3: Life sciences – split by value chain; marketing and sales form largest chunk, at 35% of total spend

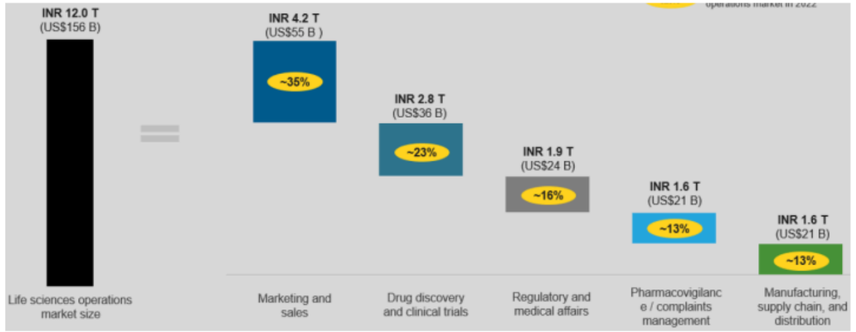
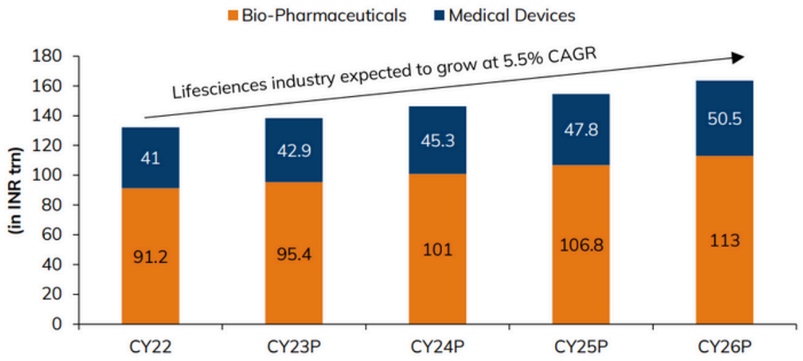
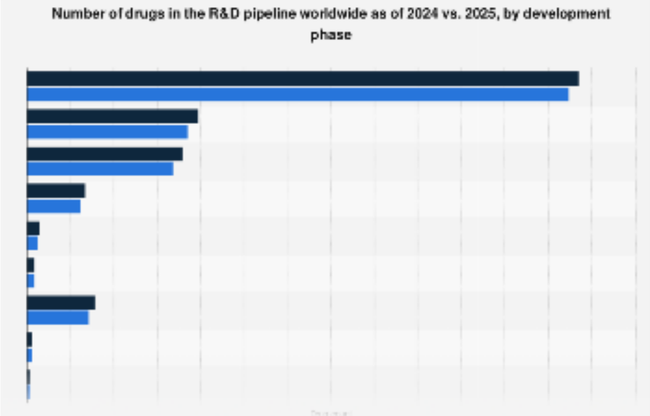


Exhibit 1: Top line revenue estimates



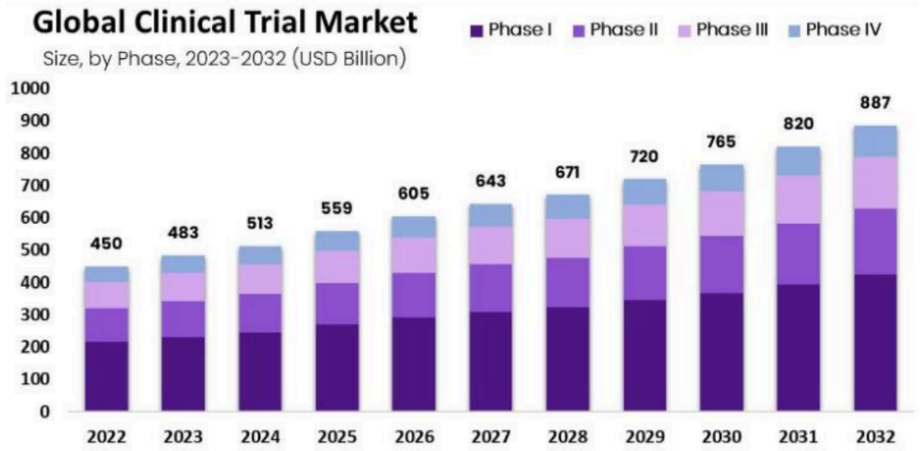


Macro Tailwinds and Patent Cliff

Clinical trials and drug development

- The **clinical trials market size** is pegged to expand at a **6.6% CAGR** over CY26–32.
- **Drug development growth** is now higher than ever, R&D pipelines growing.
- Reasons lie in the fundamentals of the Pharma industry:
  - More diseases being discovered >requirement to develop treatments
  - Lifestyle shift>increasing number of chronic diseases, complex health needs
  - Advances in science>**More rare diseases being discovered**>treatments
  - **Advances in genomics, biotechnology, and cell/gene therapy**>newer technologies for treatment>increasing number of clinical trials.
- Indegene provides services to run these processes efficiently.

Exhibit 13: Clinical trial market size to expand at a 6.6% CAGR over CY26–32



Other tailwinds:

1. **Increased regulatory complexity**
2. **Pressure on drug prices**

- There has been continuous pressure on drug prices.
- To bring USA among the Most Favoured Nation: drug prices are being regulated so that they are at parity with other developed nations.
- Pharma companies looking to cut down their costs, would increasingly outsourse marketing and distribution activities, to firms like Indegene.

How the Patent Cliff impacts Indegene? Tailwind ?

- Between 2025 and 2030, many of the world's biggest drugs are expected to lose their patents. So, when patents expire, Pharma companies are expected to invest more in R&D to create new drugs to replace their old ones.
- Then, they would focus on aggressive launch of these drugs before biosimilars or generics enter the market.
- At the same time, they need to focus on cost cutting and becoming more efficient, for which, they would outsource the marketing, content creation and data analytics to specialized partners — because doing it in-house would be expensive.

Service Offerings

Enterprise Commercial Solutions - 56%

- Engaging in the **marketing and sales** of drugs and Pharma innovations.
- Development of **promotional and education-related content** for doctors and HCPs.
- **Customer data management and data analytics** for tracking the efficiency of marketing campaigns

Strategy and Consulting Services
Patient Services
Marketing Operations
Technology Transformation
Data and Analytics
Creative and Content Services

Enterprise Medical Solutions - 29%

- Assist life sciences and Pharma companies in managing their medical and regulatory operations efficiently, that include: medical writing, regulatory submissions and pharma-covigilance.
- Utilisation of the suite of NEXT platforms and GenAI agents and CoEs.

Omnichannel Medical Strategy
Material Review, Operations and Compliance
Medical Information and Communication
Safety and Pharmacovigilance
Pricing and Market Access
Medical Writing
Regulatory Affairs
Learning and Development
Health Economics and Outcomes Research (HEOR)

28%
Revenue Contribution

Omnichannel Activation - 12%

- Utilises the back-end systems developed by ECS to run the marketing campaigns, engage with the HCPs and executing multi-channel promotional campaigns.
- InvisageTM: AI-powered, hybrid digital engagement model, used to design, execute, and continuously optimize digital GTM strategies using channels such as email, social media, virtual representatives, to personalize content journeys.

Invisage™
Digital Rep Equivalence
Omnichannel Medical Strategy
Customer Experience Journeys
Omnichannel Workshops

Others - 3%

- Providing Enterprise Clinical Solutions that drive efficiencies in patient recruitment for clinical trials, digital data management and analysis for regulatory submissions.
- Consulting services to assist clients (drug and pharma companies) in their digital transformation journey to improve customer experience.

Clinical Trials Design
Patient Recruitment
Clinical Data Management
Trial Management and Conduct
Real World Evidence Generation
Consulting Services

Service Offerings: NEXT AI Suite

How Indegene NEXT suite delivers transformational outcomes

- Indegene's propreitary Technology suite: **Indegene NEXT**
- Utlising **machine learning (ML), natural language processing (NLP) & AI-generated content**, workflow automation, etc. for clinical and regulatory operations.
- **Automates content creation** ensuring accuracy and speed in delivery of information.
- **Pharmacovigilance**: which is a headcount-intensive process, NEXT helps with structuring of the data, enabling analysis of data and identifying safety risks early.
- The **review and monitoring process** for pharma & medical content is automated; and the platform keeps track of updates in **global regulatory compliances.**
- Customer data management so that promotional content can be personalised for HCPs; Also helps with **predicting customer behaviour and sales forecasting.**
- Utilising AI and data for patient recruitment as per the requirements of the drug trials.
- **Coordination of marketing** operations to ensure consistency across campaigns.

Our suite of digital platforms

NEXT Content Authoring
A Gen AI-based medical report authoring tool that generates medical reports

NEXT MLR Automation Review
Accurate medical, legal and regulatory (MLR) review of medical and promotional materials

NEXT Adverse Events Management
Monitoring, processing and reporting adverse event intake with predictive analytics insights

NEXT Analytics
An AI-enabled proprietary platform to optimize go-to-market model

Texture
Tool used by brand managers to drive patient engagement and therapy adherence

BOT
A Gen AI-enabled conversational bot that acts as a virtual assistant

NEXT Forecasting
A comprehensive forecasting platform to assess the market potential of a biopharmaceutical product

Channel Effectiveness Model
ML-based model to estimate impact of marketing campaigns on product sales

NEXT Commercial Content Intelligence
An AI-powered platform that assists in identifying reusable commercial content

NEXT Campaign Collaboration
Easy planning, management, and measurement of multi-channel campaign operations

NEXT Content Collaboration
Streamline the content development process

NEXT HCP Journey Optimization
An AI-powered platform that connects and integrates data from multiple sources to develop multi-dimensional profiles of HCP cohorts

NEXT Regulatory Submissions Planning
AI and predictive analytics-based platform enabling real-time regulation tracking and submission planning

Client Concentration (Revenue Contribution)

Top Client	Top 5 Clients	Top 10 Clients	Top 20 Clients
13.5%	40.0%	57.1%	77.8%

94% Revenue from BioPharma Companies

6% Revenue from Medical devices and Emerging BioTech

AI Models

TECTONIC

- Launched as Indegene's effort to move upstream in the **marketing value chain on commercial content creation side** and capture more work upstream, so as to become a strategic partner & not just a service vendor
- **USD 1 million of revenue from Tectonic in this quarter across 2 customers.**
- Tectonic will be reported as a part of the ECS division.
- Long term strategic purpose: to merge upstream and downstream work and provide a **single larger value proposition.**
- Indegene is also constructing a transformative deal through tectonic with their largest customer, started generating revenues, expected to scale up in a few quarters.
- The strong presence in **brand activation** is contributing towards building the capabilities and value offering in Tectonic.

CORTEX

- Indegene's GenAI platform, the backbone for multiple AI workflows.
- Automating routine documentation, reviews; built as **pharma-specific**
- Domain knowledge is built in, reducing the risk of inaccuracies.

Key Features of Cortex

Knowledge Engineering Interface: Embeds 25+ years of domain expertise into reusable knowledge graphs via a no-code, natural language interface

LLM-Agnostic AI Agents: Modular agents that work across LLMs and evolve with advances in the ecosystem

Multi-Agent Orchestration: Enables configurable, use case-specific AI workflows with seamless enterprise integration

Model Context Protocol (MCP): Supports agent interoperability and frictionless integration into client IT environments

Secure implementation: Handles proprietary data with strict separation and zero cross-pollination

Role of AI in the business

- The usage of AI has been rising and that has helped with increasing the traction from customers because of the value proposition being offered.
- Heavy usage of **AI, Natural Language Processing and Machine Learning** in the different services provided by **NEXT**.
- **Invisage™ : AI-powered hybrid omnichannel sales** and **marketing** platform, optimizes GTM strategies and improves RoI.
- AI supports pattern recognition, summarization, translation, and automated tagging, enabling domain experts to focus on higher-value tasks.
- Integration of GenAI into our existing services across content creation, **pharmacovigilance, regulatory writing, medical affairs, and analytics.**

CASE STUDY OF PAST SOLUTIONS

Client	Challenge	Solution	Outcome
INDGN's AI solution improve content discoverability	A global pharma leader with 350+ products spanning 150+ markets faced limitations with their existing closed-loop marketing (CLM) application. Limited content discoverability, laborious file searches, and inadequate customer insights were hindering their time-to-market efficiency.	Indegene first introduced Indegene Closed Loop Marketing (iCLM), a customizable search interface for tagged keyword–based content discoverability. Taking it a step further, Indegene implemented its proprietary artificial intelligence (AI) platform, NEXT Commercial Content Intelligence, as a fully automated keyword tagging solution.	After a successful pilot in a single market, the customer expanded automated keyword generation using NEXT Commercial Content Intelligence keyword tagging to 30+ markets in 18+ languages, while tagging over 200,000 pages of content in the process.
INDGN facilitate 85% compliance among cancer patients	A traditional one-size-fits-all approach to PSPs that does not cater to specific patient needs resulting in a subpar patient experience	INDGN designed and delivered an innovative patient support program (PSP) to improve medication access and compliance in patients with cancer	INDGN's innovative PSP enabled the client to deliver value to 4000+ cancer patients spread across 900 hospitals
INDGN streamline Digital Asset Management	The aim to simplify and automate approval cycles across USA and Europe, and enable quick creation and assembly of pharmaceutical digital assets. Challenges: 1) Primitive and manual process for identifying digital assets 2) Poor asset repurposing, and disconnected asset flow across brands 3) Poor asset analytics and 4) No dedicated digital search and discoverability	provided an end-to-end Digital Asset Management (DAM) solution, starting from assessment, consulting, deployment, and maintenance. INDGN also provided asset analytics for the entire asset creation, repurpose, and distribution processes across the organization.	- 63% Reduction in time for asset operations - 45% Reduction in cost of asset operations - 50% Increase in overall asset re-use and re-purpose
INDGN leverages Generative AI to Develop Informed Consent Forms and Plain Language Protocol Synopsis	Complex, manual and time-consuming process	INDGN established an innovation hub for leveraging Generative AI to generate lay language from complex clinical protocols	-30% increase in throughput -50% effort reduction

Acquisitions

Biopharm

Indegene announced the acquisition of Biopharm on 1st October, 2025 at a price of **$104 million** all of which will be funded without any debt.

Upfront payment: US$ 65 M at closing
Gross revenue FY24 US$ 38.1 M
Valuation: approx **9.8× CY 24 EBITDA**

Positives:

- Enhanced **brand activation**: specialist in hyper-targeted HCP - Investment in data, **media, zero-waste programmatic campaigns**, better channel mix (email, video, display, social)
- Leveraging Invisage's data assets: over **2 million HCP data**-prescribing data, digital behaviour, content-preference data, engagement metrics
- Expansion into niche segments: Better penetration to TAs like **oncology** and rare diseases and niche HCP universe like **ophthalmology**
- Cross-selling opportunities within the combined client base- Scale BioPharm capabilities to Enterprise Programmatic CoEs/ Media hubs

Other notable acquisitions

- Trilogy Writing & Consulting GmbH - 2024 - Medical writing and regulatory affairs
- CultHealth - 2022 - Healthcare marketing and brand strategy
- Medical Marketing Economics (MME) - 2021 - Market access and pricing strategy
- DT Associates - 2019 - Consulting and operations
- Wincere Inc. - 2016 - Clinical data management and clinical operations

biopharm | indegene™

CORPORATE GOVERNANCE

Board of Directors

Krishnamurthy Venugopala Tenneti
Non-Executive Independent Director

Dr. Ashish Gupta
Non-Executive Independent Director

Jairaj Manohar Purandare
Non-Executive Independent Director

Pravin Udhyavara Bhadya Rao
Non-Executive Independent Director

Georgia Nikolakopoulou Papathomas
Non-Executive Independent Director

Manish Gupta
Chairman and Chief Executive Officer

Dr. Sanjay Suresh Parikh
Executive Director and Executive Vice President

Dr. Rajesh Bhaskaran Nair
Non-Executive Director

Mark Francis Dzialga
Non-Executive Nominee Director

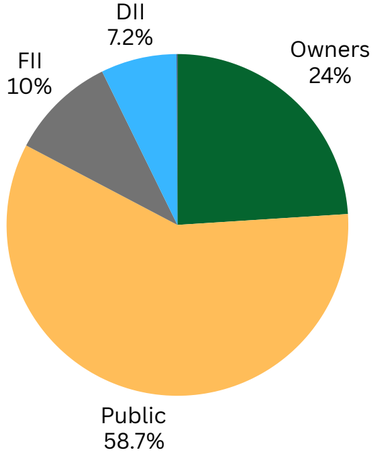
Management

No major managerial changes - **professionally managed company structure**

Key Leadership:
Manish Gupta (CEO): IIT-BHU mechanical engineer, IIM-Ahmedabad MBA, former Infosys/ANZ Grindlays executive, 27-year Indegene journey.
Dr. Sanjay Parikh: IIT-Bombay electrical engineer, Johns Hopkins PhD biomedical engineering, 25+ years pharma experience.
Dr. Rajesh Nair: MBBS physician, IIM-Ahmedabad MBA, former biotech division head at Sarabhai Group, 27-year healthcare expertise.

Shareholding

- No Traditional Promoters: **0% promoter shareholding**
- **Founders' Combined Stake:** ~24% (Manish Gupta 8.95%, Dr. Rajesh Nair 7.17%, Dr. Sanjay Parikh 5.01%, Gaurav Kapoor 2.62%)
- **Major Exit by Carlyle Group** - Sold entire 10.2% stake. Phased exit: Started during IPO and completed in June 2025
- Largest Shareholder: **Nadathur Estates Pvt Ltd** owning 21.99% (family office of Infosys co-founder)

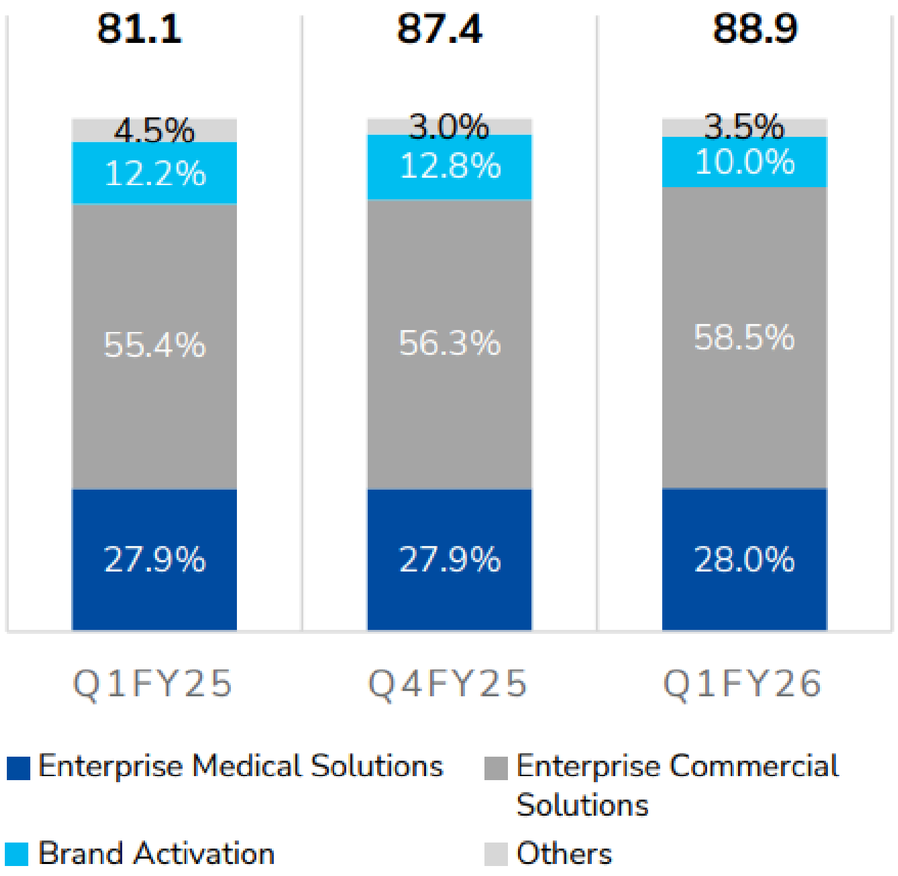


Corp Gov

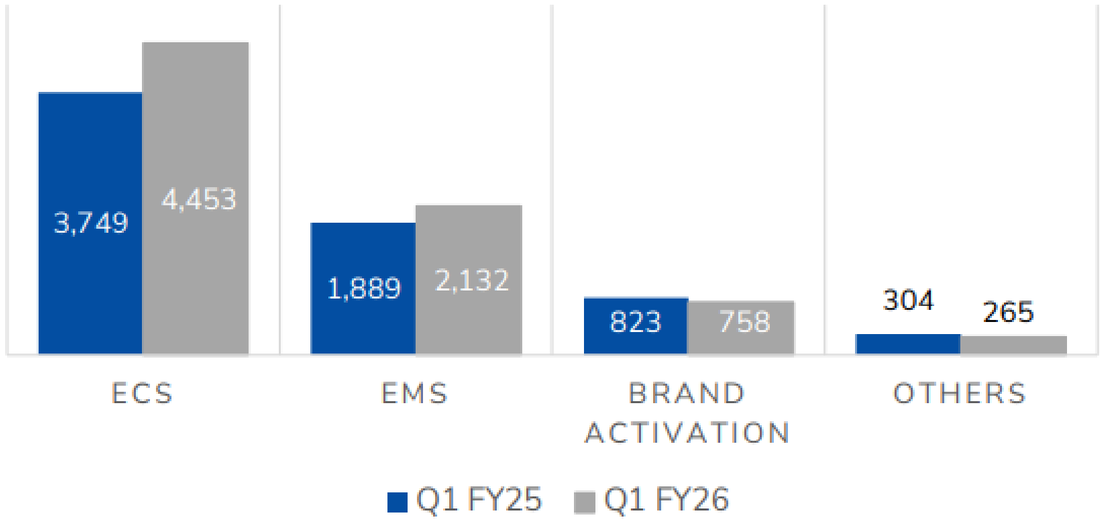
- As of 31st June 2025, no pledging of shares by shareholders
- The ratio between CEO compensation and average employee salary is 20:1, within industry norms for healthcare technology companies
- 100% attendance at board meetings by executive directors and high attendance rates across all board members

REVENUE SEGMENTATION

Revenue from Service offering ($Mn)



Segment performance YoY



- Core segments (ECS & EMS) grew 16.8% YoY
- Brand Activation (erstwhile Omnichannel Activation) declined due to a) project delay & revenue deferral related to customer's regulatory hurdles impacting launch of its product, and b) conclusion of a large project with a customer

REVENUE CONTRIBUTION

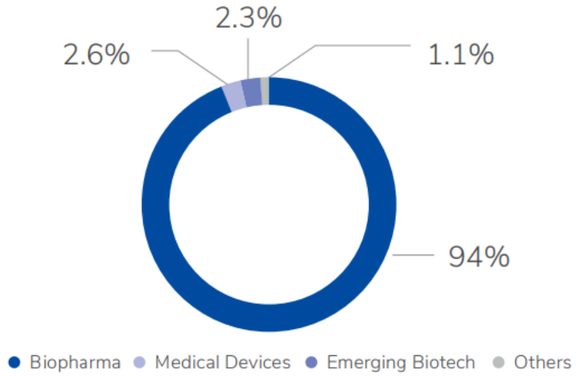
Client Concentration (Revenue Contribution)

Top Client	Top 5 Clients	Top 10 Clients	Top 20 Clients
13.5%	40.0%	57.1%	77.8%

Industries We Serve

Biopharma — Medical Devices — Emerging Biotech

Revenue Contribution By Industry



North America
Revenue Contribution
70.1%

Europe
Revenue Contribution
26.8%

India
Revenue Contribution
0.7%

Rest of the World
Revenue Contribution
2.4%

GEOGRAPHICAL PRESENCE

MARQUEE CLIENTS

Top client concentration has been stable; top-5/10/20 concentration shrinking, indicating diversification efforts yielding results

- INDGN works with the each of the top 20 global pharmaceutical giants. 64% of its revenue comes from clients who are among global top 20 pharma companies. INDGN has sizable relationship with its top 3 clients (among top pharma companies) which contribute annual revenue run-rate of more than USD 25mn. INDGN has long standing relationship with these clients which validates company's ability to scale client relationship, strong delivery, execution capability and industry leading competitive service offerings. Fortune 500 clients contribute 72.1% of FY24 revenues.

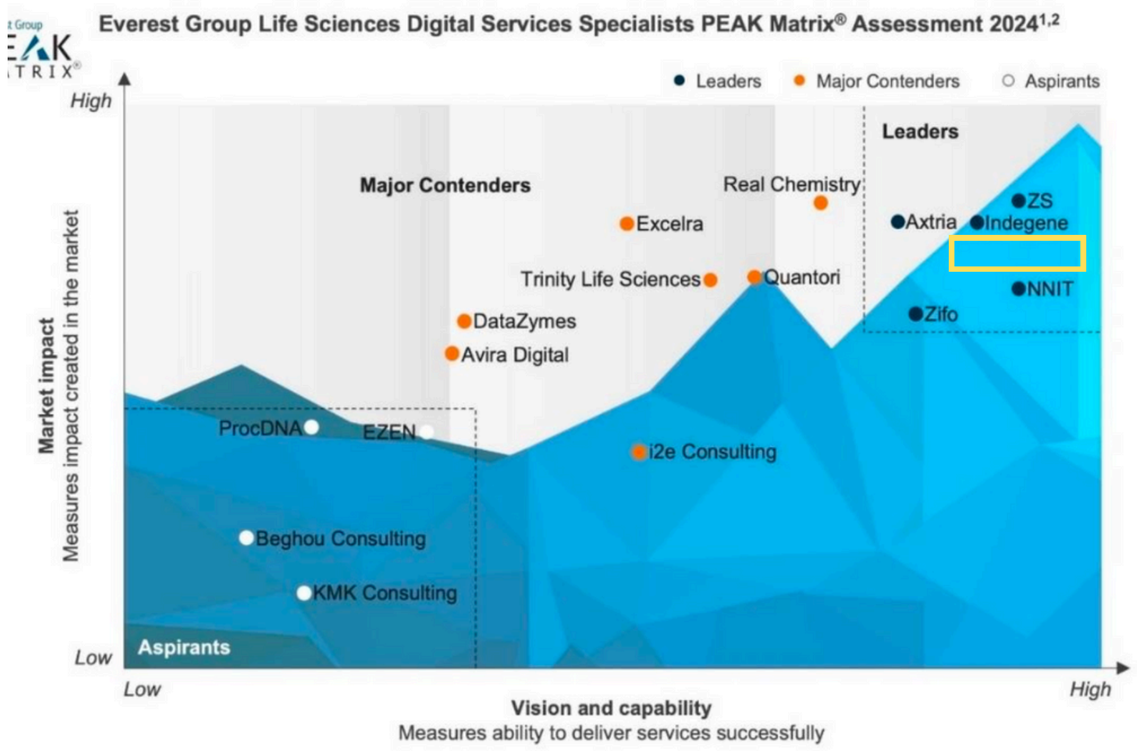
- Client stickiness and retention is high for INDGN. INDGN employs the 'land and expand' strategy to grow wallet share. INDGN's revenue has 86.2% correlation with that of top-20 pharma companies across the globe.

- From FY20, Indegene also started focusing on mid-tier pharma companies beyond the top 20 to reduce client concentration. These are enterprises with USD 40-50 USD bn revenue, having operations in over 80-100 countries and 35-40 products. INDGN has expanded its client portfolio from 40 to 70 over last five years. Top-10 client concentration has reduced from 63.9% Q4FY24 to 56.4% in Q4FY25.

- Clients from biopharma industry are 94% of total clients followed by medical devices (2.6%) and emerging biotech (2.3%) in Q4FY25.

COMPETITORS

- Global Top 20 biopharmaceutical companies have chosen Indegene due to its blend of **deep domain focus**, **proprietary technology**, and **strategic operating model**
- **Long-standing relationships** with each of the 20 largest biopharmaceutical cos
- The market poses a risk of mergers or alliances among competitors, creating new rivals with substantial resources
- Indegene competes across three main categories
  a. **Business Process Outsourcing Providers**: possess greater scale or greater resources, a more diversified revenue base, and a broader offering
  b. CROs & CSOs: provide **end-to-end responsibilities** for functions like conducting clinical trials
  c. Life Sciences Specialist: Firms **focused specifically on life sciences**, competing directly in core areas like marketing, sales, regulatory, and medical affairs
  d. Internal Client Departments
- breadth of services is the highest amongst its life sciences specialist peers



CROs & CSOs

Life Sciences Specialists

BPO

COMPETITORS

	Pharma / Life Sciences →	Payers / Insurance →	Providers / Hospitals / Clinicians
	indegene	sagility	IKS HEALTH Quality Practice. Quality Care.
Business Focus	Digital transformation partner for life sciences commercialization	Tech-enabled healthcare BPM	TechOps platform for U.S. healthcare providers
Portfolio nature	Life Sciences	Healthcare–Payers	Healthcare–Providers
Total Clients (approx.)	~73 (56% Top 10)	75 (91% Top 10)	700+ (39% Top 10)
AI / Tech Strength	Cortex GenAI platform; NEXT ecosystem	BirchAI automation platform	Scribble Suite™, AssuRx™, Stacks™ (GenAI + automation)
Revenue (FY25)	₹28,393 Mn	₹55,699 Mn	₹26,640 Mn
EBITDA (FY25)	₹5,622 Mn	₹14,685 Mn	₹7,911 Mn
PAT (FY25)	₹4,067 Mn	₹8,107 Mn	₹4,861 Mn

SWOT ANALYSIS

STRENGTH

- Deep domain expertise
- Strong client base, including all top 20 global biopharma companies- high client stickiness.
- Global delivery model with presence across North America, Europe, and India- diversified talent and leadership.
- Proven track record of profitable growth with consistent revenue and PAT expansion.

WEAKNESSES

- Limited pricing power
- High client concentration - top 5 contribute 40% revenue
- Dependence on pharma and biotech spending cycles
- Highly regulated and highly conservative industry- time consuming to adopt new methods

OPPORTUNITY

- Rising demand for AI driven digital transformation in global pharma and healthcare
- Expansion of GenAI platform (Cortex) uses cases across life-sciences workflows.
- Increasing outsourcing of medical, regulatory, and commercialization functions by global pharma.

THREAT

- Intense competition
- Rapid technology evolution- requires high investment + has risk of obsolescence
- Macroeconomic and currency volatility affecting international revenues
- Regulatory and data-compliance risks due to handling sensitive healthcare data

INVESTMENT THESIS

- Commercialisation process (Sales and marketing activity) has traditionally been done in-house by life sciences companies. These processes being time, resource and cost intensive, opened up opportunities for outsourcing these tasks. INDGN with combination of technology and vertical domain expertise has created industry leading digital-first offerings and capitalized on pharma industry trend of shift towards digital and outsourcing.

- Aggregate sales and marketing spend of top 20 pharma companies have grown at single digit CAGR over last 10 years, whereas Indegene has grown much faster (31.1% revenue CAGR over FY15 24) implying higher outsourcing of sales and marketing spends and shift towards digital channels.

- INDGN has strong track record with 31.1% revenue CAGR over FY15-24, adjusted EBITDA at 41.2% and healthy RoCE/RoE at 34.6%/36.1% for the last 10-years. This is driven by its industry leading service offerings.

- Key aspects of Indegene's digital-first approach include-1) omnichannel i.e. integrating digital and in-person channels for a complete customer centric experience, 2) Personalization at scale leveraging AI and 3) data driven decision making.

- INDGN has GenAI based products and platforms and has advanced analytics capabilities. The company has integrated AI into its offerings such as: pharmacovigilance, content creation, regulatory writing, medical report writing. INDGN has a dedicated team of 600+ individuals (12%+ employees) working on new-age digital technologies.

- INDGN is enhancing its existing platforms with agentic workflows. The new agentic workflows under its NEXT platform include: Adverse Events Management, Forecasting, Channel Optimisation, Commercial Content Intelligence, Campaign Collaboration, Content Collaboration, Omnichannel Commercial Intelligence, Regulatory Submissions Planning. These are AI/ML-led platforms curated for specific tasks.